Transitional retirement covers the period from preretirement though active retirement. A person typically enters the preretirement phase from three to five years before leaving full-time employment.

Preretirement is not a formal announcement of impending retirement; rather, it is a thought process. During this period, many people become perplexed about questions such as when to retire, whether they have enough money to retire, and what amount of money they can safely withdraw from savings so that they do not run out of money in retirement. It is probably the most conservative period in a person’s life.

Most people who are nearing retirement tend to be in their peak earning years and peak savings years. They are at or close to their highest level of career advancement and are earning top wages. On the home front, household expenses have stabilized and are possibly going down. Children are either self-sufficient or only a few years away from becoming self-sufficient. It is a nice time because you actually have money that is all yours.

The transition from full-time work to retirement signals a new investment phase in a portfolio. The portfolio will convert from accumulation to distribution. That means that investors will soon stop putting money in and start taking some out.

People who are closing in on a retirement date think and act in the most conservative manner of their lives during these transition years. They tend to shift their portfolios to the asset allocation that they will use during retirement. The shift does not happen overnight. Rather, it tends to be gradual as the retirement year approaches.

Brand-new retirees are uncertain about how their cash flow in retirement is going to work out or whether they have a good retirement plan. That causes some people to be very defensive with their asset allocation by reducing risky investments to a small percentage of their portfolio and by hoarding cash.

There is little reason to be overly conservative in a portfolio during the transition phase. Some extra cash in a short-term bond fund is appropriate because it helps the cash-flow jitters go away after about a year or two. I generally recommend at least one year and up to two years in living expenses in a cashlike account or short-term bond fund during retirement.